

INSTRUCTIONS FOR THE CALL FOR PROPOSAL PROCEDURE

The Director General established the implementing instructions referred to as “Instruction for the Call for Proposal Procedure”, pursuant to Article 9.1 “Implementing Instructions”, and Article 2 “Definitions” of the Procurement Regulations (ESA/REG/001, rev. 5).

The ESA Industrial Policy Committee approved the Instructions (ESA/IPC(2022)136) during its 333rd meeting held on 28 June 2022.

The ESA Council authorized the public release of this document by approving Article 4 of the ESA Procurement Regulations.

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1. INTRODUCTION

This document provides the instructions to be followed when a tender action is to be implemented through a ‘Call for Proposal’. It also clarifies the classification of an ‘Announcement of Opportunity’. A distinction should be made between a Call for Proposal and an Announcement of Opportunity.

- i. The ESA Procurement Regulations define a ‘Call for Proposal’ as follows:

“A procedure, limited or not in time, for inviting economic operators to submit tenders at their own initiative without responding to a specific Invitation To Tender issued by the Agency”.

A Call for Proposal is in other words characterised by the absence of a detailed Statement of Work formulated by the Agency. The choice of a Call for Proposal procedure shall be clearly indicated either in the Implementing Rules of the respective programme/activity or the bilateral agreements concluded between the Agency and third parties.

If certain conditions, announced in the Call for Proposal, are fulfilled by the Tenderer in its proposal, it may lead to a contract with the Agency. Through such contract, ESA either alone or in cooperation with other institutions funds the activity fully or, if the activity is co-funded, provides financial contribution towards the agreed results.

Submission of proposals under a Call for Proposal may or may not include a preliminary stage where amongst others outline proposals are submitted via the Open Space Innovation Platform (‘OSIP’) or another online platform outside of esa-star Tendering. The use of such a platform for all of the preliminary stage actions, where applicable, is mandatory in order to ensure the security of any communication and documentation exchanged between the Agency and the Tenderers.

- ii. An ‘Announcement of Opportunity’ is a procedure whereby the Agency, either alone or in cooperation with other institutions, offers relevant stakeholders an opportunity which entails access to and/or use of either the Agency’s, its Member States’ or partner

institutions' unique expertise, facilities, products, or services. Such opportunities meet both the interest of the relevant stakeholder as well as the objectives of the Agency and include, for example, the possibility to fly an experiment or a payload on an Agency platform or to conduct experiments and scientific investigations which require access to and/or use of unique expertise, facilities, products, or services.

An Announcement of Opportunity is not meant to be conducted through a Tender Action within esa-star but, rather, either via an esa-star ESA Interact, via OSIP, or through another online platform having the required functionality.

The costs related to the execution of an awarded opportunity, such as costs related to the payload, the experiment or travel and subsistence of researchers, are usually not funded by the Agency, whereas the costs of the Agency services provided as part of the opportunity may additionally have to be compensated by the recipient of the opportunity. Limited financial support may be offered, where such funds have been allocated by the Agency for the specific purpose.

This document provides provisions, to be applied when the procedure of a Call for Proposal, as defined in Article 2 of the Procurement Regulations, is prescribed in the Implementing Rules of the respective programme/activity or the bilateral agreements concluded between the Agency and third parties.

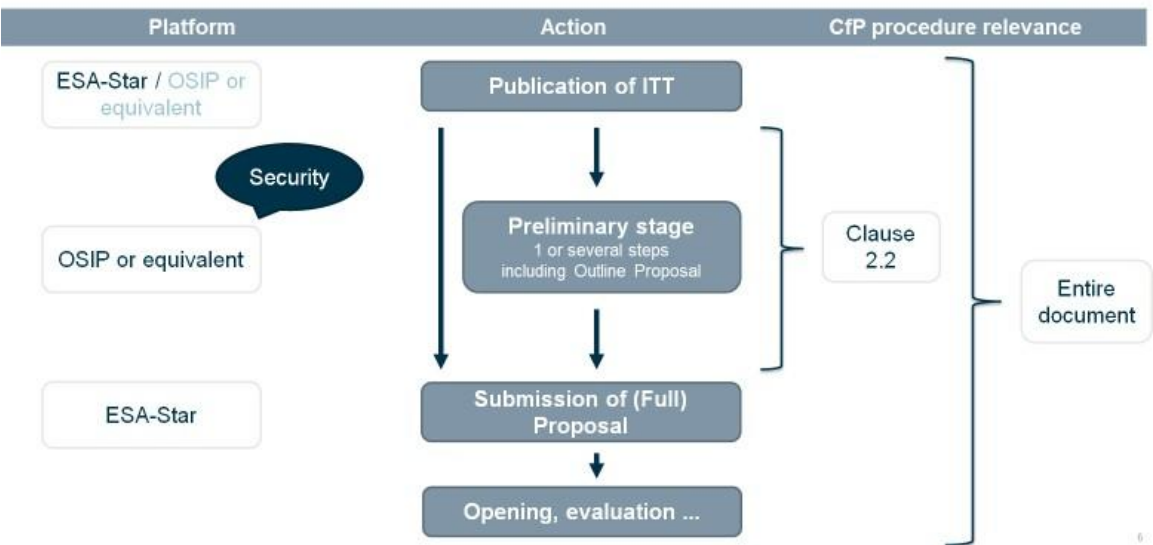
The procedure described hereinafter shall always be interpreted to ensure:

- compliance with the purpose of the Agency as outlined in Article II of the ESA Convention;
- pursuance of the Agency industrial policy objectives consistent with the provisions of Article VII of the ESA Convention and Annex V thereof;
- transparency and fair and equitable treatment of all economic operators;
- objective and effective use of the Agency resources, in compliance with the principle of sound financial management of the Agency.

How to read this document?

This procedure should be consulted before the initiation and in the course of the duration of each Call for Proposal falling under the definition given above.

If the specific Call for Proposal includes a preliminary stage, then clause 2.2 of this document shall be consulted with regard to the requirements for that stage. The rest of the provisions of this document shall be consulted in the case of all Call for Proposals regardless of whether they include a preliminary stage. Please see the below schematic in this regard.



2. CALL FOR PROPOSAL AS PROCUREMENT METHOD

2.1. Call for Proposal

2.1.1. A Call for Proposal shall be issued when the tender action is defined by programmatic and/or thematic criteria of a more general nature, making the establishment of a detailed Statement of Work not possible or relevant. The choice of this method shall be clear from the Implementing Rules of the respective programme/activity or from the bilateral agreements with third parties.

2.1.2. Call for Proposal can be divided into three types:

- a) The 'Standard Call for Proposal' shall invite economic operators to submit proposals at their own initiative, at any time, throughout the duration of the specific Call for Proposal. Each proposal received, shall be opened, and evaluated one by one shortly after the receipt of each proposal.
- b) The 'Fixed Call for Proposal' shall invite the economic operators to submit proposals at their own initiative, by a defined closing date. The proposals received by the closing date shall be opened and evaluated together after the closing date.
- c) The 'Open Call for Proposal' shall invite the economic operators to submit proposals at their own initiative, at any time throughout the duration of the specific Call for Proposal. Evaluations of the proposals that are received by the pre-determined deadlines shall take place at regular intervals in batches.

2.2. The preliminary stage in a Call for Proposal procedure

2.2.1. The 'preliminary stage' is an optional part of the Call for Proposal procedure aimed at receiving and evaluating amongst others 'outline proposals' prior to the submission of 'full proposals'. The preliminary stage may be used for each type of Call for Proposal as specified in clause 2.1.2.

2.2.2. The preliminary stage shall be conducted outside the esa-star Tendering tool and the procurement regulatory framework shall not be applied. However, the preliminary stage

shall adhere to the principles as stipulated in Article 10 of the ESA Procurement Regulations.

2.2.3 The solicitation documents of a Call for Proposal that includes a preliminary stage shall, in addition to what is stated in clause 3.2 below, include the following:

- a) the step-by-step description of the procedure that will lead to the submission and evaluation of outline proposals;
- b) reference to the online platform where the outline proposals shall be submitted and all communication related thereto is to take place;
- c) the evaluation criteria to be applied to the evaluation of 'outline proposals' as well as those evaluation criteria to be applied to the evaluation of 'full proposals'.

2.2.4 The Call for Proposal that includes a preliminary stage, shall be published:

- a) simultaneously on both esa-star News and OSIP where the activity is initiated on OSIP as a submission of ideas; or
- b) in esa-star Tendering with instructions to use OSIP (or another equivalent online platform) for the preliminary stage in all other cases.

2.2.5 Clarifications and any other communication regarding the Call for Proposal, during the preliminary stage, before the submission of full proposals, shall be communicated to and by the initiating Authority via the online platform designated for the submission of outline proposals.

2.2.6 The outline proposals shall be submitted via OSIP or another equivalent online platform specified in the solicitation documents and in accordance with the requirements set out therein.

2.2.7 Each person participating in the evaluation of the outline proposals shall sign a declaration of non-interest in the outcome of the respective tender action after having read the outline proposal(s).

2.2.8 Full proposals shall be submitted electronically solely via esa-star, within the timeframe indicated in an invitation to submit a full proposal, if any.

- 2.2.9 A written record of the actions taken throughout the preliminary stage of a Call for Proposal shall be retained for the purposes of verifying compliance with the requirements arising from this clause 2.2.

3. PREPARING A CALL FOR PROPOSAL

3.1. Tender Evaluation Board Nomination

- 3.1.1. The Tender Evaluation Board for a Call for Proposal may be appointed after the Tender Opening Board has concluded its activities.

In such case, the Programme Directorate responsible for the relevant programme/activity (the 'Initiating Authority') in cooperation with the Procurement Department shall prepare the solicitation documents related to a Call for Proposal.

Prior to the publication of the Call for Proposal the solicitation documents shall be reviewed and endorsed by a dedicated board composed of:

- A representative of the initiating Authority (the 'Technical officer');
- A representative of the Procurement Department (the 'Contract officer')¹.

The Cover Letter shall be signed by the Head of the Procurement Department or the duly delegated person.

- 3.1.2. The composition of the Tender Evaluation Board for a Call for Proposal may differ for the evaluation of individual proposals in the case of a Standard Call for Proposal, and for the evaluation of batches of proposals received under an Open Call for Proposal, depending on the specific requirements related to the programme/activity or the technical expertise required from the Tender Evaluation Board. In such cases a Tender Evaluation Board, for the specific evaluation, may be appointed after the Tender Opening Board has concluded its activities.

¹ According to DINS 2013-3 a non-ESA staff member may support the procurement department in a Call for Proposal of a value of up to 10 M EUR.

3.1.3. The Tender Evaluation Board may be assisted by *ad hoc* experts on the specific subject matter to which the received proposals relate, appointed to the Tender Evaluation Board as specialised support after the Tender Opening Board has concluded its activities. Such *ad hoc* experts shall act in an advisory role and be authorised to make recommendations to the Tender Evaluation Board related to the technical, scientific, cost and management qualities of the proposals received.

3.1.4. The total number of members to be appointed to the Tender Evaluation Board for a Call for Proposal shall depend on the objectives of a specific programme/activity.

3.2. Content of the solicitation documents

3.2.1. The solicitation documents of a Call for Proposal shall contain as a minimum the following:

- a) the reference to and short description of the Agency's activity or programme in the area of which the Call for Proposal is issued;
- b) the specific objectives pursued under the Call for Proposal, including in terms of results as well as the timeframes for achievement of such result;
- c) the detailed description of the procedural steps under the Call for Proposal;
- d) the evaluation criteria, that shall be no less than two and no more than eight, and weighting factors, if relevant;
- e) the conditions for registration as a potential supplier/beneficiary in esa-star as a precondition for submitting a full proposal;
- f) the submission conditions including relevant templates, the proposal contents (technical, management, financial information, business plan etc.) and a draft contract;
- g) the requirement that full proposals shall be submitted via esa-star;
- h) whether re-submission of proposals is permitted and if so, under what conditions.

3.2.2. The solicitation documents may also include the following:

- a) an activity description;
- b) if specific eligibility conditions are defined by the Implementing Rules of the relevant programme, in particular for programmes where the use of participating states' funds is subject to a dedicated notification of financing (letter of support), such conditions must be reflected in the solicitation documents;
- c) if the activity is foreseen to be co-funded, the percentage of co-funding required;
- d) closing date(s) for submission of proposals, if applicable.

4. OPENING AND EVALUATION OF TENDERS

4.1. Opening of tenders

4.1.1. Depending on the type of Call for Proposal, the tenders shall be opened as follows:

- a) For a Standard Call for Proposal the Tender Opening Board shall convene as soon as practicable after the receipt of each full proposal;
- b) For a Fixed Call for Proposal the Tender Opening Board shall convene as soon as practicable after the closing date for the submission of full proposals;
- c) For an Open Call for Proposal the Tender Opening Board shall convene as soon as practicable after each pre-determined submission date.

4.1.2. Where necessary, the Technical Officer shall inspect the tender(s) declared admissible by the Tender Opening Board with the aim to identify the specific expertise required for the evaluation of each tender and thereafter nominate additional members to the respective Tender Evaluation Board based on the required expertise, as provided for in clauses 3.1.2 and 3.1.3 above.

4.2. The proceedings of the Tender Evaluation Board

In the case where a Call for Proposal is conducted on behalf of third parties or if the Implementing Rules of the programme so require, the Tender Evaluation Board may submit

the tender evaluation report summary to the dedicated authorised body on behalf of which the Call for Proposal is conducted for programmatic review and approval.

5. AWARD PROCEDURE

5.1. Negotiations

5.1.1. During contract negotiations, the Agency is entitled to request that a tenderer submit to the Agency an updated proposal reflecting the level of detail that the proposal should contain.

5.1.2. Where a Call for Proposal includes a non-negotiable contract template as part of the solicitation documents, the terms of the published contract shall not be negotiated and shall be accepted by the tenderer.

5.2. Award of contract

Where a tender is not recommended for a contract award or contract negotiations fail to result in contract award, the Contract officer shall inform the initiating Authority and the Head of the Procurement Department who will jointly take a decision on the rejection of the proposal or further negotiations with the tenderer.

6. NOTIFICATION & DEBRIEFING

6.1. Tenderers who have not been selected for the placing of the contract shall be notified of the fact after approval/rejection of the recommendation of the Tender Evaluation Board.

6.2. It may be decided by the initiating Authority that, for a specific Call for Proposal, a Tenderer who has not been selected for the placing of the contract is notified of the fact without a short resume of the findings of the Tender Evaluation Board. Such a Tenderer shall be simultaneously, in the notification, be invited to an oral debriefing where the Tenderer may obtain further information regarding how to prepare good proposals. In such an instance, the applicable debriefing mechanism shall be described in the solicitation documents of the respective Call for Proposal.